

MIXED RETURNS

Airline stocks have displayed a mixed trend in FY22. With a rally of 20 per cent since April 1, 2021, shares of InterGlobe Aviation (IndiGo) jumped to ₹1,962.85 on March 28, 2022. On the other hand, Jet Airways (India) and SpiceJet declined 10.27 per cent and 18.92 per cent, respectively, during the same period. Meanwhile, the benchmark BSE Sensex has advanced 16.33 per cent in FY22 so far. These same stocks had delivered handsome returns to investors in FY21, on the back of robust liquidity in the market. Jet Airways, SpiceJet and InterGlobe had surged 600 per cent, 88 per cent and 53 per cent, respectively, in FY21, while the 30-share Sensex gained 68 per cent during the period.

—RAHUL OBEROI



[India] with Air India Express, but all of this is expected to happen only in the medium term,” says Jagannarayan Padmanabhan, Practice Leader & Director, Transport and Logistics, CRISIL Infrastructure Advisory. “With the privatisation of Air India, their balance sheet is expected to improve hereon,” says Ambit’s Khanna.

The tie-up with SIA for Vistara has given the Tatas the experience of offering a premium product. This will likely come in handy once an integrated Air India starts connecting rural and upcountry services to its metro and international routes. Currently, Air India and Vistara are the only Indian carriers with the capability to operate long and ultra-long-haul flights, though others such as IndiGo and SpiceJet also fly international. Vistara has placed orders for six Boeing 787 aircraft, which can fly for 20 hours non-stop, and is examining the possibility of offering such flights from India. “There are potential opportunities. We are doing some studies and reviews to see whether that makes sense. The routes that we currently operate with the B787s in Europe have been doing phenomenally well,” says Kannan.

Following former Turkish Airlines Chairperson Ilker Ayci turning down the CEO’s position at Air India, Tata Sons Chairman N. Chandrasekaran has been made chairman of the airline. “The Tatas will have to sooner or later appoint a full-time CEO for the airline. The earlier the appointment is done the better, as Air India requires not just a full-time CEO to provide able leadership, but also a new management team to revive and transform it into a world-class airline,” says Jitendra Bhargava, industry veteran and former ED at Air India.

Experts separately told *Business Today* that the delay in the appointment of the CEO might have already set back restructuring plans at Air India by a few months.

PERHAPS NO airline since the launch of the country’s first LCC, Air Deccan, in 2004 has evinced as much interest as stock market bull Rakesh Jhunjhunwala-promoted Akasa Air, which will start operations in June. “There are many people in India who have never taken a flight, and we will cater to such travellers, but we will also focus on the frequent flyer,” says Vinay Dube, CEO, Akasa Air.

“The entry of new carriers bodes well for the sector in the medium to long term as it adds more passenger-kilometres capacity to cater to growing demand and also adds a touch of fresh competition,” says Sumit Singhanian, Partner, Deloitte India. Indian carriers currently have about 700 aircraft in their fleets, including parked or stored aircraft. India is projected to need 2,380 new commercial airplanes by 2038 to meet rising demand, said a 2019 Boeing forecast. “With the growth of airport infrastructure across India, coupled with the growth of the Indian economy in the long term, it is safe to assume that the Indian market can absorb more than three times the current fleet over the next 10-15 years,” says Rohit Tomar, Partner at aviation advisory Caladrius Aero.

Last November, Akasa placed an order for 72 Boeing 737 MAX aircraft valued at \$9 billion. The airline will be leveraging these to offer new routes. “The key factors for success would entail a proper value proposition, focusing on sectors other than the trunk routes, consistency in delivery, and being cost-competitive,” summarises CRISIL Infrastructure Advisory’s Padmanabhan. “Our initial network focus will be to serve metros to Tier II and III cities. So, in that respect, Bengaluru, Delhi, Mumbai, etc., will be important focus cities for us. We expect to have clarity in the coming months as our discussions with the airport operators mature,” says Dube.

Meanwhile, nearly three years after it went bankrupt, Jet Airways’ new